

---

# *The* Rich Report

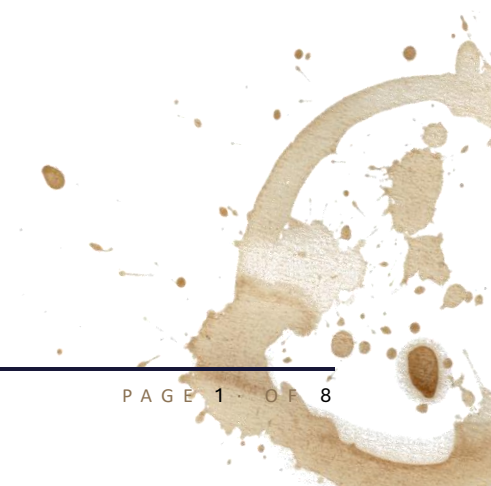
---

---

## U.S. ECONOMICS NEWS

---

- ◆ **S&P Earnings Surge:** Q2 2026 earnings season is tracking well ahead of expectations, with blended EPS growth of 25.9% year-over-year against a 23.2% pre-season forecast; Information Technology leads with projected profit growth of 63.4%, while Energy is expected to surge 125% following the Iran conflict's disruption to the Strait of Hormuz.<sup>3</sup>
- ◆ **Broadening Growth:** The earnings recovery has meaningfully broadened beyond the Magnificent 7 — after the remaining 493 S&P 500 companies were in negative earnings territory in mid-2024, they have since recovered and analysts expect their growth to surpass the Mag 7 in the second half of 2026, a healthier signal for overall market sustainability.<sup>3</sup>
- ◆ **Rate Recalibration:** The Iran conflict has materially shifted U.S. rate expectations, with federal funds rate futures implying a year-end rate of nearly 4.0% as of July 21, 2026, up sharply from 3.0% at the start of the year, as surging oil prices reignite inflation concerns and push the Fed to pause further cuts.<sup>3</sup>
- ◆ **New Home Sales:** June new home sales beat consensus at a 628,000 annual rate, but the figure remains on the weak end of pre-pandemic levels; the Iran conflict has added headwinds, pushing the average 30-year fixed mortgage rate up roughly 50 basis points, while median new home prices have fallen 13.5% from their October 2022 peak as developers offer incentives to clear elevated inventory.<sup>3</sup>
- ◆ **Treasury Yields:** Treasury yields hit year-to-date highs for the week ended July 24, with the 10-year note reaching its highest level in 18 months at 4.677%, after Houthi attacks on Saudi oil tankers briefly pushed Brent crude above \$100 per barrel, reigniting inflation fears and fueling speculation the Fed could hike rates sooner than previously anticipated.<sup>3</sup>



# The Rich Report

## DIGITAL ASSETS NEWS

- ◆ **Three Straight Weeks of Inflows:** Bitcoin ETFs recorded their third consecutive week of net inflows totaling \$33.8 million — marking the first sustained three-week streak since early May and signaling a meaningful shift in institutional sentiment. While modest in dollar terms, the consistency of inflows suggests renewed investor confidence rather than opportunistic short-term positioning, a distinction that matters for assessing longer-term demand durability.<sup>5</sup>
- ◆ **Clarity Act Draft Released:** On July 22, a revised Clarity Act draft surfaced containing a notably contentious ethics provision set to expire in 2029, which would impose temporary restrictions on President Trump's personal cryptocurrency dealings. The sunset clause signals a deliberate compromise — acknowledging conflict-of-interest concerns while limiting the provision's longevity, reflecting ongoing tension between crypto deregulation ambitions and government ethics guardrails.<sup>5</sup>
- ◆ **Senate Likely to Miss Pre-Recess Deadline:** Senate Majority Leader John Thune acknowledged on July 23 that the Clarity Act will almost certainly fail to advance before Congress enters recess, dealing a serious setback to the bill's already-narrow path toward 2026 passage. The delay compounds existing legislative hurdles, raising concerns among crypto industry stakeholders who had lobbied aggressively for timely action on the landmark digital asset market structure legislation.<sup>5</sup>
- ◆ **Goldman Backs Clarity Act Despite Reservations:** Goldman Sachs CEO David Solomon publicly endorsed the Clarity Act, acknowledging it falls short of ideal but arguing that workable regulatory certainty outweighs waiting for perfect legislation. His stance puts Goldman at odds with JPMorgan's Jamie Dimon and other major bank CEOs who have withheld support, highlighting a significant strategic divide among Wall Street's most powerful institutions over crypto's regulatory future.<sup>5</sup>

◆ ◆ ◆  
*Wealth beyond today.*

---

# *The* Rich Report

---

---

## GEOPOLITICS NEWS

---

- ◆ **Canada:** The US-Mexico bilateral USMCA talks resumed for a third round while simultaneously excluding Canada, which faces new punitive tariffs from Washington, raising pressure on the trilateral trade architecture underpinning nearly \$1.6 trillion in annual trade.<sup>1</sup>
- ◆ **Iran:** US strikes expanded from southern to western and central Iran following American casualties, while Iran retaliated against US installations in Bahrain, Kuwait, and Jordan. Israeli intelligence also assessed that Iran relocated nuclear centrifuges into the hardened Pickaxe Mountain tunnel complex after last year's strikes on its main nuclear sites.<sup>1</sup>
- ◆ **North Korea:** Kim Jong Un has ordered a "radical" overhaul of North Korea's intelligence and reconnaissance capabilities, seeking to close gaps in overseas human intelligence and satellite surveillance. The country's spy agency was recently renamed the "General Reconnaissance and Intelligence Bureau" to reflect broader ambitions.<sup>1</sup>
- ◆ **Portugal/US:** Google successfully connected its new Nuvem transatlantic subsea cable linking Myrtle Beach, South Carolina, to Sines, Portugal — via Bermuda and the Azores — adding a new US-Europe data corridor as AI and cloud demand surge.<sup>1</sup>
- ◆ **Saudi Arabia:** The US and Saudi Arabia signed a 30-year civilian nuclear cooperation agreement, but Trump immediately conditioned it on Saudi normalization with Israel, complicating Riyadh's longstanding position that recognition requires a clear pathway to Palestinian statehood.<sup>1</sup>
- ◆ **Sweden:** Sweden declared mining of critical metals and rare earth minerals a national security interest, citing over-reliance on China, and pledged to accelerate permits and investment at the Per Geijer rare earth deposit near Kiruna — one of Europe's flagship strategic mineral projects.<sup>1</sup>
- ◆ **US/Iran (Escalation Pause):** After 13 nights of strikes, Trump paused a planned major escalation against Iran as top military brass warned about dwindling stocks of Patriot and air defense interceptors. Diplomacy is being tested simultaneously, though Iran continued drone attacks on Saudi Arabia, Jordan, and Iraq after the pause, suggesting Tehran is probing the limits of the ceasefire.<sup>1</sup>
- ◆ **US/Iran (War Powers):** The House narrowly passed a war powers resolution 214-208 requiring congressional authorization for the Iran campaign, with a handful of Republicans joining Democrats to signal eroding Capitol Hill support as the war enters its second month with no clear endgame.<sup>1</sup>

# The Rich Report

## THE GOOD NEWS

- ◆ **Hormuz Bypass:** DP World is building a new port on the UAE's Gulf of Oman coast, allowing cargo to move overland to Dubai and neighboring Gulf states without transiting the Strait of Hormuz — a chokepoint repeatedly disrupted by Iranian attacks. The project diversifies one of the world's busiest trade corridors and strengthens economic resilience for the broader Gulf region.<sup>2</sup>
- ◆ **Safer Roads:** Despite over a billion new vehicles added to global roads since 2011, WHO data shows road traffic deaths fell 21% by 2025. Improvements in vehicle safety standards, road design, seatbelt laws, and drunk-driving enforcement drove the decline — proving that targeted policy works even as transportation systems grow vastly more complex.<sup>2</sup>
- ◆ **Solar Milestone:** Construction has begun on Steel River Energy Center in Arkansas, the largest solar project in U.S. history. Its three phases will deliver 2.5 GWdc of solar power and 2.9 GWh of battery storage by 2029 — enough to power over 315,000 homes annually — while boosting domestic energy manufacturing and grid reliability.<sup>2</sup>
- ◆ **AI as Collaborator:** A large-scale Google study finds AI is widely used across 68% of U.S. occupations, but primarily as a collaborator rather than a replacement — handling only ~21% of tasks per job. Even manual workers like auto technicians use AI for real-time diagnostics, while most household use addresses high-friction tasks like navigating taxes and government services.<sup>2</sup>

◆ ◆ ◆  
*Aligning family and capital with a 100-year vision.*

# The Rich Report

## DIVIDEND PORTFOLIO NEWS

- ◆ **DGX:** Quest Diagnostics posted a strong Q2, with EPS of \$3.12 beating by \$0.30 and revenue of \$3.04B beating by \$70M. The company raised full-year EPS guidance and now projects 2026 revenue of \$11.95B–\$12.05B, reflecting continued volume growth and favorable pricing across its diagnostics business.<sup>4</sup>
- ◆ **GD:** General Dynamics secured two defense contracts: a \$400.4M Space Development Agency award and a \$127M Navy submarine contract modification through Electric Boat. These additions reinforce GD's backlog across space and naval programs, complementing its ongoing defense platform work.<sup>4</sup>
- ◆ **GPC:** Genuine Parts beat Q2 estimates with EPS of \$2.15 (up \$0.07) and revenue of \$6.5B (up \$70M), reaffirming full-year guidance. Management outlined 2026 adjusted EPS of \$7.50–\$8.00 and is targeting a business separation in Q1 2027, likely referring to the planned spin-off of its industrial segment.<sup>4</sup>
- ◆ **LMT:** Lockheed Martin delivered a strong Q2 — EPS of \$7.94 beat by \$0.74, revenue of \$20.06B beat by \$730M — led by Missiles and Fire Control. Full-year sales guidance was raised to \$79.75B–\$81.75B. The company also declared a \$3.45/share dividend and signed seven-year deals expanding Patriot and THAAD missile production.<sup>4</sup>
- ◆ **NEE:** NextEra Energy's Q2 adjusted EPS of \$1.15 beat by \$0.04, though revenue of \$7.53B missed by \$640M. Management reaffirmed 8%+ adjusted EPS growth through 2032 and outlined 8 GW of Florida large-load capacity by 2032. NEE also joined over 200 companies pledging AI power usage commitments per WSJ.<sup>4</sup>
- ◆ **ORI:** Old Republic's Q2 came in slightly below expectations — EPS of \$0.76 missed by \$0.03 and revenue of \$2.33B missed by \$50M. Management expects its Excess and Surplus Lines combined ratio to run 90–95% and flagged a bargain purchase gain expected next quarter, suggesting a recent acquisition closed below book value.<sup>4</sup>
- ◆ **SSNC:** SS&C had a record Q2 — EPS of \$1.76 beat by \$0.08, revenue of \$1.69B beat by \$30M — triggering an 11% share rally. The company raised its full-year revenue outlook to \$6.672B–\$6.832B and guided 2026 adjusted EPS of \$6.93–\$7.25, while buyback activity added further investor confidence.<sup>4</sup>
- ◆ **STLD:** Steel Dynamics provided longer-term aluminum segment guidance, targeting at least 90% capacity utilization exiting 2026 and reaffirming \$650M–\$700M through-cycle EBITDA for that business. This reflects continued buildout of its new aluminum operations as a meaningful second earnings pillar alongside steel.<sup>4</sup>
- ◆ **TEL:** TE Connectivity beat Q3 estimates and issued a positive Q4 outlook, but shares fell as investors focused on the announced \$1.4B acquisition of Astrodyne TDI, a power conversion solutions company. Management projects 15% sales growth in FY2026, with the deal expected to expand TE's power electronics capabilities.<sup>4</sup>

---

# *The* Rich Report

---

---

## GROWTH PORTFOLIO NEWS

---

- ◆ **FCX:** Q2 EPS of \$0.74 beat by \$0.12, revenue of \$7.03B beat by \$280M; FY26 outlook reaffirmed; Grasberg mine ramping to 80% operating capacity by mid-2027; Bagdad copper project capex approaching \$4.5B; copper prices touched a one-month high on tightening China market conditions.<sup>4</sup>
- ◆ **KEYS:** Keysight extended its collaboration with Intel Foundry, earning RFPro software certification — strengthening its position in RF semiconductor design verification tools.<sup>4</sup>
- ◆ **NVDA:** Nvidia and SK Group announced a \$500B+ partnership; Nvidia in talks on a \$250B backstop for an OpenAI data center; invested \$1B in South Korea's Naver; partnered with former Safe Superintelligence; co-founded the Open Secure AI Alliance with 30+ firms; unveiled Spectrum-6 Ethernet platform, and established an AI research lab with KAIST.<sup>4</sup>
- ◆ **SYF:** Strong Q2 beat — GAAP EPS of \$2.59 beat by \$0.46; raised 2026 EPS guidance to \$9.25–\$9.50 with mid-single-digit loan receivables growth targeted; raised dividend 13.3% to \$0.34/share; credit card charge-offs dropped in June though delinquencies edged up modestly.<sup>4</sup>
- ◆ **TSM:** TSMC plans to raise chip manufacturing prices up to 10% in 2027.<sup>4</sup>

◆ ◆ ◆  
*Excellent companies, owned with intention.*

# The Rich Report

## SUMMARY

In regard to the United States Economy, Q2 2026 earnings are tracking well ahead of expectations, with blended EPS growth of 25.9% year-over-year. The recovery has broadened beyond the largest technology names, with the remaining 493 S&P 500 companies expected to outgrow the Magnificent 7 in the second half of 2026. Meanwhile, the Iran conflict has pushed Treasury yields to 18-month highs and shifted rate expectations meaningfully upward, complicating the Fed's path forward.

In the world of digital assets, Bitcoin ETFs recorded their third consecutive week of net inflows, signaling a shift toward sustained institutional confidence rather than short-term positioning. A revised Clarity Act draft surfaced with a contentious ethics provision targeting presidential crypto dealings, but Senate leadership acknowledged the bill will miss the pre-recess deadline. Goldman Sachs publicly backed the legislation despite reservations, while other major bank CEOs remain on the sidelines.

Recently around the globe, the Iran conflict dominated headlines as U.S. strikes expanded before a pause was called amid warnings about depleted air defense interceptor stockpiles. The House passed a war powers resolution signaling eroding congressional support. Separately, the U.S. and Saudi Arabia signed a civilian nuclear agreement, Sweden designated critical mineral mining a national security priority, and Canada faces renewed trade pressure as U.S.-Mexico USMCA talks proceed without it.

For the good news, road traffic deaths fell 21% globally by 2025 despite over a billion new vehicles added since 2011, demonstrating the impact of targeted safety policy. Construction began on the largest solar project in U.S. history in Arkansas, with 2.5 GW of capacity and 2.9 GWh of battery storage expected by 2029. A large-scale study also found AI is functioning primarily as a workplace collaborator across 68% of U.S. occupations, handling roughly a fifth of tasks rather than displacing workers.

In the news for the dividend portfolio, several holdings reported strong second-quarter results. Quest Diagnostics, Lockheed Martin, and SS&C all beat earnings and revenue estimates while raising full-year guidance. General Dynamics added meaningful defense contracts, and NextEra reaffirmed long-term earnings growth targets. Genuine Parts topped estimates and outlined a planned industrial segment spin-off for early 2027, while Old Republic was the lone modest miss.

And, for the growth portfolio, Freeport-McMoRan delivered a solid earnings beat with copper prices touching a one-month high on tightening conditions in China. TSMC indicated plans to raise manufacturing prices up to 10% in 2027. Nvidia remained the most active name, announcing major partnerships and infrastructure investments totaling hundreds of billions of dollars, though notable short positions from prominent investors added a cautionary counterpoint.



---

# *The* Rich Report

---

---

## RESOURCES

---

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
- ◆ <https://seekingalpha.com/>
- ◆ <https://www.coindesk.com/latest-crypto-news>

---

## IMPORTANT INFORMATION

---

Paradiem, LLC is a Registered Investment Advisor. This material is provided solely for informational and educational purposes and should not be construed as personalized investment, legal, or tax advice, or as an offer to buy or sell any security. Advisory services are provided only pursuant to a written agreement. The opinions expressed reflect Paradiem's views as of the date of publication and are subject to change without notice based on market or other conditions. Forward-looking statements, forecasts, and expectations are inherently uncertain and are not guarantees of future results. References to specific securities, industries, or sectors are provided solely to illustrate our investment research and portfolio management process. They should not be considered recommendations to purchase, sell, or hold any security. Current holdings and portfolio allocations may change at any time without notice and may differ from those discussed herein. The securities discussed do not represent all securities purchased, sold, or recommended for client accounts. A complete list of recommendations made during the preceding twelve months is available upon request. Investing involves risk, including the possible loss of principal. Diversification and asset allocation do not ensure a profit or protect against loss. Past performance is not indicative of future results. While information contained herein is believed to be reliable, Paradiem makes no representation as to its accuracy or completeness. Investors should consult their financial, legal, and tax professionals before making any investment decisions.